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Today's economic developments and market movements.



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Key themes:

- Markets opened the week cautiously amid continued Middle East tensions. Conflicting signals from Washington stating renewed threats against Iranian energy infrastructure alongside suggestions of growing willingness to negotiate kept sentiment fragile.
- US equities were mixed, European stocks outperformed on falling yields, while Asian and Australian markets bore the brunt of energy-related uncertainty.
- Bond markets firmed after Fed Chair Powell reiterated that longer-term inflation expectations in the US remain well anchored, prompting a pull-back in near-term rate-hike pricing and renewed discussion of a possible Fed rate cut later this year.
- The USD remained supported in risk-off conditions, while energy markets again dominated the narrative, with WTI surging above US\$100/ bbl.

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